

the government's recent policy decisions.

"The trinity of financialisation, formalisation and digitisation has increased the velocity of wealth across India, including in non-metro locations," says Doshi of Enam AMC. This has led to increased awareness and acceptance of PMS products, and access to them. "Further, the rapid growth of independent financial advisors, wealth platforms and online aggregators of PMS has further complemented the growth phenomena."

For instance, around 40 per cent of the inflows for Marcellus Investment Managers comes from outside the five biggest metropolitan cities—Mumbai, Delhi, Chennai, Kolkata and Bengaluru. "The trend is upwards in the 'non-Big 5' cities. We call them the 'Next 20' cities. These cities will increasingly become more important for us, and the industry as well," says the company's Founder & CIO Saurabh Mukherjee.

Even the Association of Portfolio Managers in India (APMI) acknowledges the trend. "Indian families are increasingly moving towards financial savings and away from saving through gold and real estate. To the extent that in Tier II and III towns—[that] were prone to saving through physical assets—the financialisation of savings and growth in PMS assets is sharper," says Rashim Bagga, Principal Officer at APMI.

REGULATORY PUSH

It is not often that an industry is happy when a regulator tightens norms, but Sebi's moves have played a major role in making PMS an attractive proposition for wealthy Indians. And PMS firms have wholeheartedly backed the regulator for making the industry more investor friendly by overhauling the regulations governing them. First formulated in 1994, PMS regulations had hardly seen any major revamp for the first 25 years or so, leading to a lack of transparency in almost all aspects of fund management, from performance evaluation to charges & fees, and portfolio disclosures, among other aspects.

But the regulator brought a paradigm shift when it increased the minimum investment ticket size from the then existing ₹25 lakh to ₹50 lakh in 2020. This clearly signalled that PMS could only be sold to HNIs and not retail investors, who have the option of investing in MFs.

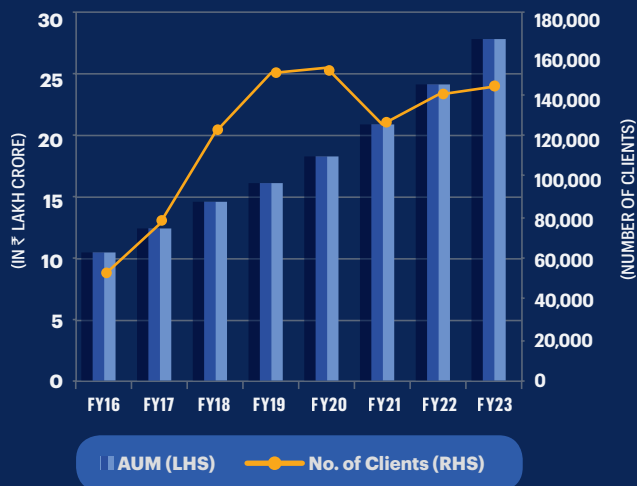
Further, the regulator also enhanced disclosure norms, standardised performance measurement, and plugged the loopholes that were encouraging mis-selling. For example, upfront commissions—that typically incentivised distributors to push their clients for regular but unnecessary churning of schemes—

₹27.79
LAKH CRORE

**TOTAL AUM
OF PMS INDUSTRY
AS ON MARCH
2023, PER SEBI**

INDIA UNBOUND

The number of investors and the value of assets under management have seen consistent growth over the years



DATA FOR THE END OF THE RESPECTIVE FINANCIAL YEAR; SOURCE SEBI

were stopped, akin to what had been mandated for MFs a few years earlier. "The most important regulatory change that has happened is regarding transparency, in terms of how frequently one discloses NAV (net asset value), etc. Second was benchmarking. Third was disclosure of charges. Fourth, [the regulator mandated that] if you (PMS) are using a partner [for distribution], you cannot be paying anything upfront, as that will encourage mis-selling," says Rohokale of ASK, who was part of the committee that helped Sebi draft the new rules.

"The intent of the regulator was to encourage entrepreneurship but with a good governance structure, so that norms related to minimum net worth, number of people, etc., were put in place," he adds. "The intent was not to kill the industry, but to create an industry that is clean and has only serious players."

Incidentally, the tightly-regulated MF industry had moved from upfront commissions to trail ones in 2018, and the same was mandated for PMS in 2020 as well. Simply put, upfront commission refers to a one-time payment to the distributor at the time of buying a product.